BofA SECURITIES

Airbus

Adding Airbus to 3Q26 best ideas

Reiterate Rating: BUY | PO: 258.00 EUR | Price: 194.54 EUR

Adding Airbus to 3Q26 best ideas

We are adding Airbus to our 3Q Best Ideas List, as we see the upcoming business update as a potentially positive catalyst. We think Airbus could introduce a formal medium-term Commercial Aircraft EBIT framework. Our expectation is for a guide of BofAest €10bn EBIT, linked to the targeted production rates (75/mnth A320 and 12/mnth A350) rather than a specific year. We think Airbus Commercial has the potential to generate €14-16bn of EBIT pre R&D, and after applying what we view as a conservative annual R&D burden of €3-4bn, this supports a sustainable EBIT outcome of around €10bn. We see strong 2Q26 results, with deliveries in the 215-220 range, we see a Commercial EBIT margin of 14% vs. Cons currently at 10.4%. We see Airbus at c.€13.6bn of net cash in 2026, and €17bn in 2027 assuming no buyback, which could also be a topic of discussion at the business update. Airbus is currently trading at 11x EV/EBITA in 2028E and 5.8% FCF yield which we think is attractive. We reiterate our Buy rating, PO €258 (ADR $76.11).

A Commercial guide would help shift the narrative

While some investors may initially view a €10bn target as disappointing given Visible Alpha consensus already stands above €10bn EBIT by FY29 and above €11bn by 2030, we think this would miss the bigger picture. The key benefit would be the introduction of an earnings framework against which investors can assess the earnings potential of the business. Airbus has historically provided limited mid-term disclosure, making it difficult to assess the upside and downside associated with the ramp. We think this could shift the narrative away from first flights and deliveries to a healthier mid-term focus.

2Q results supported by volume and stable mix

We expect a strong 2Q result. We forecast 215-220 deliveries, a substantial increase from c.170 aircraft in 2Q25, reflecting improved industrial execution and a healthier supply-chain environment. The mix between A321 and A320 aircraft appears broadly stable year-on-year, which should allow investors to better assess the drop through on higher volumes. Airbus has previously suggested around €15m of incremental EBIT for every additional aircraft delivered, although we think A320/321 is likely higher than this.

Estimates (Dec) (EUR)	2024A	2025A	2026E	2027E	2028E
EPS (Adjusted)	5.42	7.94	6.91	7.89	11.3
EPS Change (YoY)	-14.9%	46.4%	-13.0%	14.2%	43.4%
Dividend / Share	2.00	3.20	3.45	3.95	5.66
ADR EPS (Adjusted - US$)	1.47	2.24	1.97	2.26	3.23
ADR Dividend / Share (US$)	0.54	0.90	0.99	1.13	1.62
Valuation (Dec)					
P/E	35.9x	24.5x	28.2x	24.7x	17.2x
Dividend Yield	1.03%	1.64%	1.78%	2.03%	2.91%
EV / EBITDA*	19.4x	15.3x	14.4x	13.3x	10.6x
Free Cash Flow Yield*	2.58%	2.92%	2.75%	4.02%	5.83%

* For full definitions of *iQmethod*℠ measures, see page 6.

01 July 2026

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Stock Data

Price (Common / ADR)	194.54 EUR / 55.60 USD
Price Objective	258.00 EUR / 76.11 USD
Date Established	5-Jun-2026 / 5-Jun-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	157.42 EUR-221.30 EUR
Market Value (mn)	152,781 EUR
Shares Outstanding (mn)	785.3 / 3,141.4
Average Daily Value (mn)	286.56 USD
Free Float	72.0%
BofA Ticker / Exchange	EADSF / ENP
BofA Ticker / Exchange	EADSY / OTU
Bloomberg / Reuters	AIR FP / AIR.PA
ROE (2026E)	19.7%
Net Dbt to Eqty (Dec-2025A)	-49.5%

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Refer to important disclosures on page 7 to 10. Analyst Certification on page 4. Price Objective Basis/Risk on page 4. **12989326**

Timestamp: 01 July 2026 12:30AM EDT

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iQprofile℠ Airbus

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(EUR Millions)					
Sales	69,230	73,420	77,266	86,159	95,025
EBITDA Adjusted	8,979	11,390	12,028	13,079	16,413
Depreciation & Amortization	(2,853)	(3,133)	(3,657)	(3,772)	(3,872)
EBIT Adjusted	6,126	8,257	8,371	9,307	12,541
Net Interest & Other Income	121	268	(48.3)	(5.88)	30.3
Tax Expense / Benefit	(1,347)	(1,390)	(1,970)	(2,234)	(3,118)
Net Income (Adjusted)	4,282	6,267	5,439	6,143	8,513
Average Fully Diluted Shares Outstanding	790	790	787	778	752
Key Cash Flow Statement Data					
Net Income (Reported)	4,232	5,221	5,366	6,070	8,440
Depreciation & Amortization	2,853	3,133	3,657	3,772	3,872
Change in Working Capital	1,337	100	(300)	500	500
Deferred Taxation Charge	0	0	0	0	0
Other CFO	(1,089)	(465)	(944)	(681)	(711)
Cash Flow from Operations	**7,333**	**7,989**	**7,779**	**9,660**	**12,101**
Capital Expenditure	(3,669)	(3,964)	(3,952)	(3,952)	(3,952)
(Acquisition) / Disposal of Investments	(587)	326	0	0	0
Other CFI	98.0	69.0	0	0	0
Cash Flow from Investing	**(4,158)**	**(3,569)**	**(3,952)**	**(3,952)**	**(3,952)**
Share Issue / (Repurchase)	(276)	(565)	0	(3,000)	(6,000)
Cost of Dividends Paid	(2,216)	(2,374)	(2,519)	(2,720)	(3,037)
Increase (decrease) debt	688	(30.0)	(500)	(500)	(500)
Other CFF	(3,030)	(2,708)	0	0	0
Cash Flow from Financing	**(4,834)**	**(5,677)**	**(3,019)**	**(6,220)**	**(9,537)**
Total Cash Flow (CFO + CFI + CFF)	**(1,659)**	**(1,257)**	**808**	**(511)**	**(1,388)**
FX and other changes to cash	3,245	1,611	387	387	387
Change in Cash	1,586	354	1,195	(124)	(1,001)
Change in Net Debt	(898)	(384)	(1,695)	(376)	501
Net Debt	(12,585)	(12,969)	(14,664)	(15,039)	(14,538)
Key Balance Sheet Data					
Property, Plant & Equipment	19,112	20,893	21,777	22,546	23,215
Goodwill	13,449	13,556	13,556	13,556	14,180
Other Intangibles	3,730	3,291	2,702	2,113	1,524
Other Non-Current Assets	14,458	13,555	13,161	12,714	12,091
Trade Receivables	5,293	5,454	5,454	5,454	5,454
Cash & Equivalents	26,864	27,218	28,413	28,288	27,287
Other Current Assets	46,246	50,909	52,409	52,909	53,409
Total Assets	129,152	134,876	137,471	137,580	137,159
Long-Term Debt	10,355	9,063	8,563	8,063	7,563
Other Non-Current Liabilities	21,193	15,269	14,169	13,387	13,807
Short-Term Debt	3,924	5,186	5,186	5,186	5,186
Other Current Liabilities	73,984	79,174	80,374	81,374	82,374
Total Liabilities	109,456	108,692	108,292	108,010	108,930
Total Equity	19,696	26,184	29,179	29,570	28,229
Total Equity & Liabilities	129,152	134,876	137,471	137,580	137,159
Business Performance*					
Return On Capital Employed	11.1%	14.1%	13.2%	14.3%	18.9%
Return On Equity	23.0%	27.4%	19.7%	20.9%	29.5%
Operating Margin	7.66%	8.28%	9.51%	9.61%	12.1%
Free Cash Flow (MM)	3,958	4,481	4,214	6,095	8,536
Quality of Earnings*					
Cash Realization Ratio	1.71x	1.27x	1.43x	1.57x	1.42x
Asset Replacement Ratio	1.86x	1.81x	1.46x	1.40x	1.35x
Tax Rate	24.8%	21.9%	27.0%	27.0%	27.0%
Net Debt/Equity	-63.9%	-49.5%	-50.3%	-50.9%	-51.5%
Interest Cover	6.81x	10.7x	11.0x	12.6x	17.6x

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Aerospace

Company Description

Airbus is a global leader in aerospace, defence and related services. Airbus Commercial, the primary division (73% FY23 sales), specializes in commercial aircraft production (100+ seat market - duopoly with Boeing). The other core divisions are Airbus Helicopters (previously Eurocopter 1% FY23 sales), a leader in commercial helicopters, and Airbus Defence & Space (17% FY23 sales, previously Airbus military aircraft, Astrium and Cassidian).

Investment Rationale

2026 has seen strong improvement in the supply chain, and despite year end timing challenges, we expect this to continue into 2027. We see a strong step up in deliveries over the next 2-3 years driving solid margin expansion and improved cash return to shareholders.

Stock Data

Shares / ADR	0.25
Price to Book Value	5.3x

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Exhibit 1: BofA vs. consensus

We are ahead of consensus mid-term driven by Commercial and Defence

	BofA ests						xx	Consensus						xx	BofAe vs. Cons					
	2Q26E	FY26E	FY27E	FY28E	FY29E	FY30E		2Q26E	FY26E	FY27E	FY28E	FY29E	FY30E		2Q26E	FY26E	FY27E	FY28E	FY29E	FY30E
Group																				
Revenues																				
Airbus Commercial	13,073	55,531	63,047	72,660	81,463	83,865		13,086	58,246	65,919	75,097	82,521	85,963		0%	-5%	-4%	-3%	-1%	-2%
Airbus Helicopters	2,177	9,331	9,704	10,383	11,110	11,888		2,184	9,475	9,977	10,485	11,048	11,610		0%	-2%	-3%	-1%	1%	2%
Airbus Defence & Space	3,378	14,343	15,347	13,922	15,035	16,239		3,354	14,327	15,312	16,117	17,327	18,550		1%	0%	0%	-14%	-13%	-12%
Other/HQ	-384	-1,534	-1,534	-1,534	-1,534	-1,534		-464	-1,623	-1,766	-1,944	-2,075	-2,159		-17%	-5%	-13%	-21%	-26%	-29%
Group	18,244	77,671	86,565	95,431	106,074	110,459		18,141	80,581	89,608	99,935	109,044	114,195		1%	-4%	-3%	-5%	-3%	-3%
EBIT Adjusted																				
Airbus Commercial	1,869	5,495	6,204	9,222	12,521	13,086		1,357	5,714	6,943	8,932	10,685	11,483		38%	-4%	-11%	3%	17%	14%
Airbus Helicopters	179	969	1,015	1,107	1,206	1,313		184	981	1,048	1,118	1,190	1,319		-3%	-1%	-3%	-1%	1%	0%
Airbus Defence & Space	235	1,001	1,182	1,307	1,536	1,750		200	882	1,027	1,182	1,402	1,560		17%	13%	15%	11%	10%	12%
Other/HQ	-5	-20	-20	-20	-20	-20		-11	-22	-26	-28	-25	-26		-56%	-9%	-23%	-30%	-21%	-22%
Group	2,277	7,445	8,381	11,615	15,243	16,129		1,731	7,559	8,998	11,208	13,258	14,342		32%	-2%	-7%	4%	15%	12%
EBIT Pre One Off Margin																				
Airbus Commercial	14.3%	9.9%	9.8%	12.7%	15.4%	15.6%		10.4%	9.8%	10.5%	11.9%	12.9%	13.4%							
Airbus Helicopters	8.2%	10.4%	10.5%	10.7%	10.9%	11.0%		8.4%	10.4%	10.5%	10.7%	10.8%	11.4%							
Airbus Defence & Space	6.9%	7.0%	7.7%	9.4%	10.2%	10.8%		6.0%	6.2%	6.7%	7.3%	8.1%	8.4%							
Group	12.5%	9.6%	9.7%	12.2%	14.4%	14.6%		9.5%	9.4%	10.0%	11.2%	12.2%	12.6%							
Reported EBIT																				
Airbus Commercial	1,844	5,395	6,104	9,122	12,421	12,986														
Airbus Helicopters	179	969	1,015	1,107	1,206	1,313														
Airbus Defence & Space	235	1,001	1,182	1,307	1,536	1,750														
Other/HQ	-5	-20	-20	-20	-20	-20														
Group	2,252	7,345	8,281	11,515	15,143	16,029														
EPS Adjusted	2.11	6.91	7.80	11.07	15.12	16.68		1.74	7.16	8.54	10.87	13.03	14.29		21%	-4%	-9%	2%	16%	17%
FCF (Pre M&A, Financing)	1,337	4,713	6,595	9,064	11,933	12,669		-124	4,633	6,707	8,823	10,513	11,530		-1179%	2%	-2%	3%	14%	10%
# of shares	787	787	787	772	741	710		789	789	787	783	776	769		0%	0%	0%	-1%	-4%	-8%
FCF per share	1.7	6.0	8.4	11.7	16.1	17.8		-0.2	5.9	8.5	11.4	14.2	16.2		-1182%	2%	-2%	3%	14%	10%
Conversion	80%	87%	107%	106%	106%	107%		-9%	82%	100%	105%	109%	114%							
Airbus Deliveries Inc A220	218	860	960	1060	1160	1165		200	868	971	1079	1151	1175		9%	-1%	-1%	-2%	1%	-1%
A220	24	110	115	115	115	115		27	110	123	134	141	145		-10%	0%	-6%	-14%	-18%	-21%
A320 family	172	635	710	780	860	860		148	650	720	793	840	851		16%	-2%	-1%	-2%	2%	1%
A319/A320	63	225	300	280	320	320		54	230	252	264	277	278		17%	-2%	19%	6%	16%	15%
A321	109	410	410	500	540	540		95	420	468	529	563	573		15%	-2%	-12%	-6%	-4%	-6%
A330	10	45	45	50	55	60		10	41	45	48	52	55		1%	11%	1%	3%	6%	9%
A350	12	70	90	115	130	130		15	68	83	103	119	124		-20%	3%	9%	12%	9%	5%
A380	0	0	0	0	0	0		0	0	0	0	0	0							

Source: BofA Global Research estimates, Visible Alpha

BofA GLOBAL RESEARCH

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Price objective basis & risk

Airbus (EADSF / EADSY)

To derive our €258 (US$76.11/ADR) Airbus price objective, we use FCF yield multiples. Our valuation is based on a multiple of 20x, a 25% premium to Airbus through cycle PE of 16x. A premium is warranted in our view in part given an improving supply chain. We use the through cycle PE multiple at our FCF target as we are confident of Airbus' ability to generate 1x FCF / net income medium term. We use this target multiple against our 2029 FCF estimates adjusted against the current forward curve and discount back to 2026.

Upside risks to our PO: 1) Euro weakness against USD, 2) a major A350/A320 order. Downside risks to our PO: 1) A350XWB experiences severe in-service disruption, 2) Supply chain disruption and causing delays on rates 3) USD weakness against the EUR.

Analyst Certification

I, Benjamin Heelan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

EMEA - Capital Goods, Aerospace & Defence Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Accelleron	ACLIF	ACLN SW	Uma Samlin
	Airbus	EADSF	AIR FP	Benjamin Heelan
	Airbus Group	EADSY	EADSY US	Benjamin Heelan
	Atlas Copco	ATLPF	ATCOA SS	Alexander Jones, CFA
	Atlas Copco	ATLKY	ATLKY US	Alexander Jones, CFA
	Babcock International	BCKIF	BAB LN	Benjamin Heelan
	Babcock International	BCKIY	BCKIY US	Benjamin Heelan
	BAE Systems	BAESF	BA/ LN	Benjamin Heelan
	BAE SYSTEMS	BAESY	BAESY US	Benjamin Heelan
	Daimler Truck	DTGHF	DTG GR	Alexander Jones, CFA
	Epiroc AB	EPIAF	EPIA SS	Alexander Jones, CFA
	Epiroc AB	EPOAY	EPOAY US	Alexander Jones, CFA
	FLSmidth	FLIDF	FLS DC	Tore Fangmann
	Hensoldt AG	HNSDF	HAG GY	Benjamin Heelan
	Hexagon AB	HXGBF	HEXAB SS	Uma Samlin
	Hexagon AB	HXGBY	HXGBY US	Uma Samlin
	Indra Sistemas	ISMAF	IDR SM	Benjamin Heelan
	Jungheinrich Pref	JGHAF	JUN3 GY	Tore Fangmann
	KION Group AG	KNNGF	KGX GY	Tore Fangmann
	Knorr-Bremse AG	KNBHF	KBX GY	Alexander Jones, CFA
	Knorr-Bremse AG	KNRRY	KNRRY US	Alexander Jones, CFA
	Kone OYJ	KNYJF	KNEBV FH	Aron Ceccarelli
	Kone OYJ	KNYJY	KNYJY US	Aron Ceccarelli
	Kongsberg Gruppen	NSKFF	KOG NO	Benjamin Heelan
	Leonardo	FINMF	LDO IM	Benjamin Heelan
	Melrose plc	MLSPF	MRO LN	Benjamin Heelan
	MTU Aero Engines	MTUAF	MTX GY	Benjamin Heelan
	Nibe Industrier	NDRBF	NIBEB SS	Uma Samlin
	Prysmian	PRYMF	PRY IM	Uma Samlin
	Renk Group	RNKGF	R3NK GY	Benjamin Heelan
	Rexel	RXLSF	RXL FP	Aron Ceccarelli
	Rheinmetall AG	RNMBF	RHM GY	Benjamin Heelan
	Rolls Royce	RYCEF	RR/ LN	Benjamin Heelan
	Rolls Royce	RYCEY	RYCEY US	Benjamin Heelan
	Safran	SAFRY	SAFRY US	Benjamin Heelan
	Safran SA	SAFRF	SAF FP	Benjamin Heelan
	Schneider	SBGSF	SU FP	Benjamin Heelan

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EMEA - Capital Goods, Aerospace & Defence Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Schneider	SBGSY	SBGSY US	Benjamin Heelan
	Siemens	SMAWF	SIE GY	Benjamin Heelan
	Siemens	SIEGY	SIEGY US	Benjamin Heelan
	Siemens Energy AG	SMEGF	ENR GY	Alexander Jones, CFA
	Siemens Energy AG	SMERY	SMERY US	Alexander Jones, CFA
	Thales	THLEF	HO FP	Benjamin Heelan
	Volvo Group	VOLVF	VOLVB SS	Alexander Jones, CFA
	Volvo Group	VLVLY	VLVLY US	Alexander Jones, CFA
	Wartsila OYJ	WRTBF	WRT1V FH	Uma Samlin
	Weir Group	WEIGF	WEIR LN	Tore Fangmann
NEUTRAL				
	ABB Ltd	ABLZF	ABBN SW	Benjamin Heelan
	ABB Ltd	ABBNY	ABBNY US	Benjamin Heelan
	Ariston Group	XRTRF	ARIS IM	Uma Samlin
	Assa Abloy	ASAZF	ASSAB SS	Aron Ceccarelli
	Assa Abloy	ASAZY	ASAZY US	Aron Ceccarelli
	Dassault Aviation	DUAVF	AM FP	Benjamin Heelan
	Metso Corporation	OUKPF	METSO FH	Tore Fangmann
	Nexans	NXPRF	NEX FP	Uma Samlin
	Nordex SE	NRDXF	NDX1 GY	Alexander Jones, CFA
	SAAB AB	SAABF	SAABB SS	Benjamin Heelan
	Sandvik	SDVKF	SAND SS	Alexander Jones, CFA
	Sandvik	SDVKY	SDVKY US	Alexander Jones, CFA
	Schindler Group	SHLAF	SCHP SW	Aron Ceccarelli
	ThyssenKrupp Marine Systems	TKMSF	TKMS GR	Benjamin Heelan
UNDERPERFORM				
	Alfa Laval	ALFVF	ALFA SS	Uma Samlin
	Alfa Laval	ALFVY	ALFVY US	Uma Samlin
	Electrolux	ELUXY	ELUXY US	Uma Samlin
	Electrolux	ELRXF	ELUXB SS	Uma Samlin
	GEA	GEAGF	G1A GY	Uma Samlin
	Legrand	LGRVF	LR FP	Aron Ceccarelli
	Legrand	LGRDY	LGRDY US	Aron Ceccarelli
	QinetiQ	QNTQF	QQ/ LN	Benjamin Heelan
	Rational Ag	RTLLF	RAA GY	Uma Samlin
	SKF	SKFRY	SKFRY US	Alexander Jones, CFA
	SKF	SKUFF	SKFB SS	Alexander Jones, CFA
	Traton	TRATF	8TRA GY	Alexander Jones, CFA
	Traton	XTONF	8TRA SS	Alexander Jones, CFA
	Trelleborg	TBABF	TRELB SS	Alexander Jones, CFA
	Vestas	VWSYF	VWS DC	Alexander Jones, CFA
	Vestas	VWDRY	VWDRY US	Alexander Jones, CFA

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iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

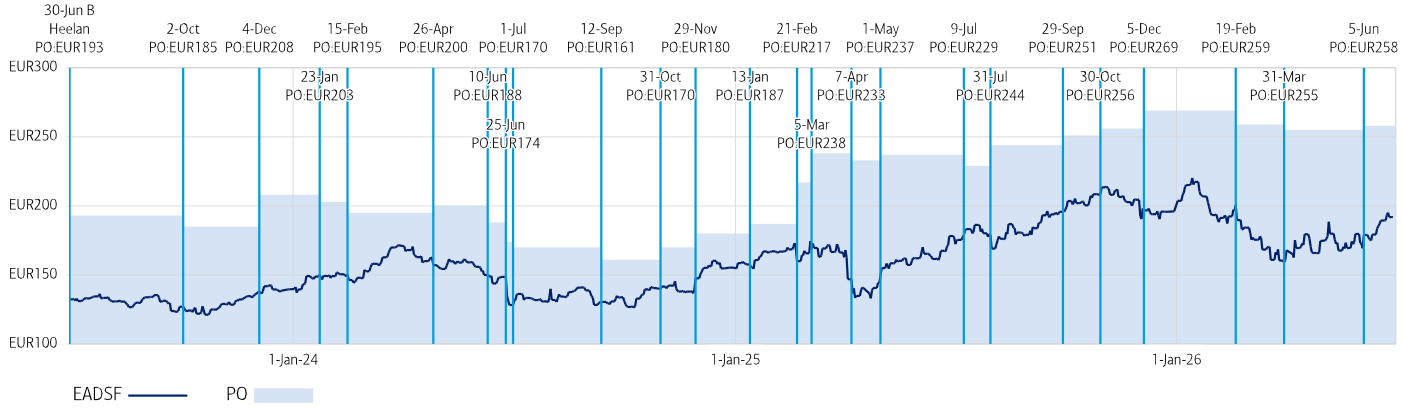
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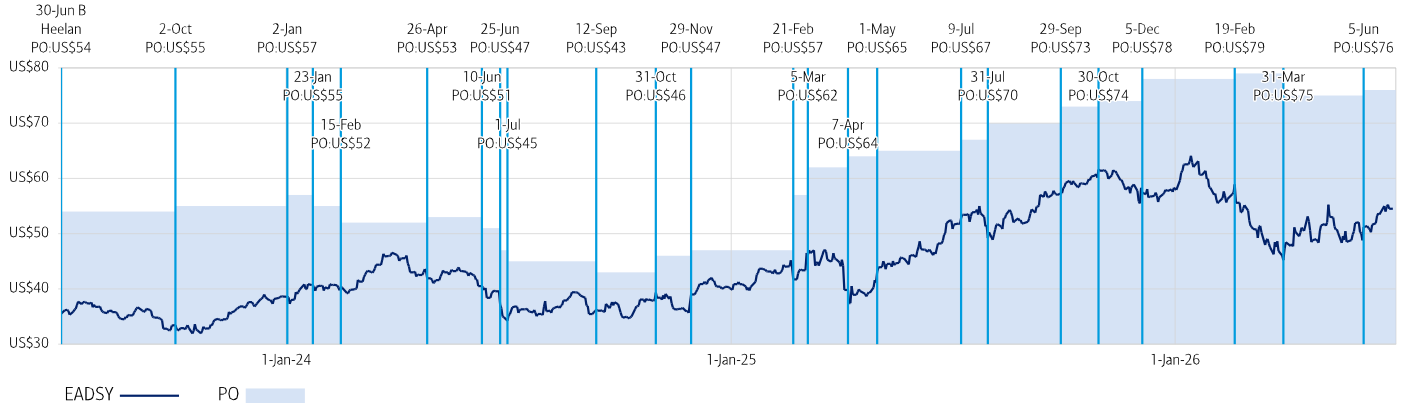
Airbus (EADSF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Airbus (EADSY) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Aerospace/Defense Electronics Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	42	71.19%	Buy	34	80.95%
Hold	10	16.95%	Hold	8	80.00%
Sell	7	11.86%	Sell	5	71.43%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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